

Module 4 Practical Scenarios

Instructor-ready cases for helping students apply Module 4 to real veteran retirement decisions: withdrawals, taxes, Medicare premiums, CRDP/CRSC, RMDs, relocation, debt, inflation, and year-end planning.

Designed for:

Discussion, small groups, board work, and instructor examples.

Use after:

The Income Systems Map and Tax Domino Effect slides.

Includes:

10 practical scenarios with prompts, analysis, and teaching cautions.

Boundary:

Education only. Do not give personal tax, investment, legal, or benefits advice.

How to Teach These Scenarios

Recommended method: Give each table one case. Ask them to identify the payment systems, measurement systems, decision points, and the safest next step. Then bring the class back together and compare answers.

Instructor Question	What You Want Students to Notice
Who sends the money?	DFAS, VA, SSA, TSP/IRA custodian, employer, bank, or lender.
Who measures the income?	IRS, Medicare/SSA, state tax agency, lender, or a means-tested benefit program.
What changes if the timing changes?	AGI, taxable Social Security, IRMAA exposure, RMD year, withholding, state tax, or debt payments.
What should the veteran verify before acting?	Tax projection, plan rules, state rules, Medicare lookback, interest rates, or professional advice.

Scenario Set

Scenario 1 The Roof Repair Withdrawal

Situation: Mr. Lewis receives military retired pay, VA disability compensation, and Social Security. His roof needs a \$22,000 repair. He wants to take the full amount from a traditional TSP account in December.

SYSTEMS INVOLVED

- TSP custodian and Form 1099-R
- IRS AGI and taxable Social Security
- Medicare IRMAA lookback if income is high enough
- State tax treatment of retirement-account withdrawals

TEACHING TAKEAWAY

The repair may be necessary, but the funding source matters. A traditional withdrawal is not just cash; it is taxable income that can trigger other calculations.

Board prompt: "What alternatives should he compare before withdrawing from traditional TSP: savings, staged repair, Roth source, payment plan, smaller withdrawal, or tax withholding adjustment?"

Instructor caution: Do not tell him which source to use. Teach that he should run a tax projection before year-end.

Scenario 2**CRDP vs. CRSC: More Gross or More After-Tax?**

Situation: MSG Carter receives military retired pay and VA disability compensation. He is eligible for CRDP and may also qualify for CRSC because one condition is combat-related. He asks which is "better."

SYSTEMS INVOLVED

- DFAS retired pay and CRDP/CRSC processing
- VA disability rating and combat-related documentation
- Federal tax treatment: CRDP taxable, CRSC non-taxable
- Annual election and branch application rules

TEACHING TAKEAWAY

The right comparison is not only gross monthly amount. Compare after-tax income, eligibility, documentation, and whether the combat-related portion is smaller than the CRDP amount.

Board prompt: "If one option pays more gross but is taxable, and the other pays less but is tax-free, what number should the veteran compare?"

Instructor caution: Refer the individual calculation to DFAS, the service branch CRSC office, a VSO, or a qualified tax professional.

Scenario 3**The First RMD Delay**

Situation: Ms. Nguyen turns 73 this year and has a traditional IRA. She hears that she can delay her first RMD until April 1 of next year. She wants to know if delaying is always smart.

SYSTEMS INVOLVED

- IRA custodian and RMD calculation
- IRS RMD deadline and excise tax rules
- Federal tax bracket and Social Security taxation
- Medicare IRMAA if income spikes

TEACHING TAKEAWAY

Delaying a first RMD may create two RMDs in one tax year. That can raise taxable income more than taking the first RMD during the original year.

Board prompt: "What happens next year if she takes the delayed first RMD by April 1 and the second RMD by December 31?"

Instructor caution: RMD penalties are serious: missed amounts may face a 25% excise tax, reduced to 10% if timely corrected.

Scenario 4**Moving for Taxes**

Situation: SFC Rivera lives in West Virginia and is considering Florida or Texas because they have no state income tax. His income is mostly military retired pay, VA disability compensation, Social Security, and occasional IRA withdrawals.

SYSTEMS INVOLVED

- State tax agency rules
- Military retired pay exemptions
- Property tax, insurance, housing, and sales tax
- VA healthcare access and family support

TEACHING TAKEAWAY

Relocation is not only a state income tax decision. West Virginia already exempts military retired pay and fully exempts Social Security beginning in tax year 2026, so the real comparison may be IRA withdrawals, property tax, insurance, housing, and healthcare access.

Board prompt: "Which costs might rise in a no-income-tax state even if income tax falls?"

Instructor caution: Avoid recommending a state. Teach a full cost-of-living comparison.

Scenario 5**Credit Card Debt and the TSP Temptation**

Situation: Mr. Brooks has \$14,000 in credit card debt at a high interest rate. He wants to withdraw \$14,000 from a traditional IRA to wipe it out immediately.

SYSTEMS INVOLVED

- Credit card APR and monthly cash flow
- Traditional IRA taxation
- Social Security taxation if AGI rises
- Possible Medicare and state-tax consequences

TEACHING TAKEAWAY

Paying off high-interest debt can improve cash flow, but a taxable withdrawal may make the payoff cost more than the balance itself. The decision needs after-tax math.

Board prompt: "What is the true cost of a \$14,000 payoff if he must withdraw more than \$14,000 to cover taxes?"

Instructor caution: Do not tell students to drain retirement funds for debt. Teach them to compare interest, tax, and cash-flow consequences.

Scenario 6**The Part-Time Job Surprise**

Situation: Mrs. Allen receives Social Security and a small survivor pension. She starts part-time work at the campus bookstore and also withdraws \$8,000 from a traditional IRA for a vehicle down payment.

SYSTEMS INVOLVED

- W-2 wages
- Traditional IRA withdrawal
- SSA-1099 and combined income
- Tax withholding from wages or Social Security

TEACHING TAKEAWAY

Small income sources can stack. Wages plus a traditional withdrawal can make more Social Security taxable, even if each item feels modest by itself.

Board prompt: "Which pieces go into combined income for Social Security taxation?"

Instructor caution: Focus on awareness and withholding, not whether the job is worth taking.

Scenario 7**Roth Conversion Before RMD Age**

Situation: COL Adams is age 68 and retired. He has a large traditional TSP balance and has not started RMDs. A friend says he should convert some money to Roth before age 73.

SYSTEMS INVOLVED

- TSP or IRA rollover/conversion rules
- Current-year taxable income
- Future RMD pressure
- Medicare IRMAA two-year lookback

TEACHING TAKEAWAY

A Roth conversion can reduce future tax-deferred balances, but it creates taxable income now. The question is not "Roth good or bad"; the question is which tax year can absorb the income.

Board prompt: "What would you want a CPA or planner to model before converting?"

Instructor caution: Roth conversions are personal tax decisions. Do not recommend a conversion amount.

Scenario 8**The Medicare Premium Letter**

Situation: Mr. and Mrs. Daniels get a notice that their Medicare Part B and Part D premiums are higher than expected. Two years earlier, they sold an investment property and took a large traditional IRA withdrawal to remodel their home.

SYSTEMS INVOLVED

- IRS tax return from two years prior
- Medicare/SSA IRMAA determination
- Capital gains and traditional IRA income
- Appeal options if a qualifying life-changing event applies

TEACHING TAKEAWAY

Medicare premiums can react later to income decisions made earlier. The two-year lookback is why year-end planning matters before large income events.

Board prompt: "Why did a decision from two years ago affect this year's Medicare premiums?"

Instructor caution: Do not promise an appeal will work. Refer to SSA/Medicare rules and Form SSA-44 when appropriate.

Scenario 9**Charitable Giving and the IRA QCD**

Situation: Ms. Patel is over age 70 1/2, gives to her church every year, and has a traditional IRA. She is also near the age when RMDs will begin. She asks if charitable giving can help manage taxable income.

SYSTEMS INVOLVED

- IRA custodian
- Qualified charitable distribution rules
- AGI and taxable income
- RMD satisfaction if applicable

TEACHING TAKEAWAY

A QCD can let eligible IRA owners send money directly to charity and keep that amount out of taxable income. This is different from taking a withdrawal personally and then writing a check.

Board prompt: "What makes a direct IRA-to-charity transfer different from a normal cash gift?"

Instructor caution: QCDs have specific rules and generally apply to IRAs, not direct TSP gifts. Students should work with the IRA custodian and tax professional.

Scenario 10**Inflation and the Flat Pension**

Situation: Mrs. Walker has Social Security, VA disability compensation, a small private pension with no COLA, and cash savings. She says she is comfortable today but worries about 15 years from now.

SYSTEMS INVOLVED

- COLA-adjusted income sources
- Flat private pension or annuity
- Cash savings interest rates
- Healthcare, insurance, and housing inflation

TEACHING TAKEAWAY

Income that adjusts with inflation is more valuable than it first appears. Flat income sources lose buying power over a long retirement.

Board prompt: "Which income sources keep up automatically, and which require a plan?"

Instructor caution: Do not recommend specific investments. Teach the buying-power problem and the need for a long-term plan.

Quick-Pick Scenario Menu

If the class is asking about...	Use this scenario	Module 4 concept
Large withdrawals	Scenario 1: Roof Repair Withdrawal	Tax domino effect
CRDP / CRSC	Scenario 2: More Gross or More After-Tax?	Taxable vs. tax-free income
RMD deadlines	Scenario 3: First RMD Delay	Year-end control calendar
Relocation	Scenario 4: Moving for Taxes	State tax and total cost of living
Debt	Scenario 5: Credit Card Debt	Debt pressure and taxable withdrawals
Social Security taxation	Scenario 6: Part-Time Job Surprise	Combined income
Roth planning	Scenario 7: Roth Conversion	Timing taxable income
Medicare premiums	Scenario 8: Medicare Premium Letter	IRMAA two-year lookback
Charitable giving	Scenario 9: IRA QCD	AGI management and RMDs
Inflation	Scenario 10: Flat Pension	Buying power and COLA

Source Notes

- IRS, Retirement plan and IRA required minimum distributions FAQs: <https://www.irs.gov/retirement-plans/retirement-plan-and-ira-required-minimum-distributions-faqs>
- IRS, Retirement topics - Required minimum distributions: <https://www.irs.gov/rmd>
- IRS, Veterans tax information and services: <https://www.irs.gov/individuals/information-for-veterans>
- SSA, Must I pay taxes on Social Security benefits?: <https://www.ssa.gov/faqs/en/questions/KA-02471.html>
- Medicare, 2026 Medicare costs and income-related premium notes: <https://www.medicare.gov/basics/costs/medicare-costs>
- DFAS, CRDP/CRSC payment guidance: <https://www.dfas.mil/RetiredMilitary/disability/payment/>
- VA, Disability compensation: <https://www.va.gov/disability/>
- Soldier for Life/MyArmyBenefits, state tax update: <https://soldierforlife.army.mil/Army-Retirement/Retirement-Planning/Change-of-Mission-Newsletter/2026-01-Check-State-Taxes-Before-Moving>

This scenario packet supports classroom instruction only. It is not tax, investment, legal, or benefits advice for an individual student.